

WEBINAR • 2026

# Keep More, Build More: Smart Tax Strategies Every Real Estate Professional Should Know

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Maximizing Benefits & Minimizing Liabilities

PRESENTED BY JASON SEIBEL



# Why Tax Strategy Matters

# \$10Ks

in potential annual savings

Real estate professionals can save up to tens of thousands annually with optimal tax planning. Complex rules around income, participation, depreciation and entity structure also create opportunities unique to this sector.



# Four Key Tax Related Questions

## 01 What is my entity structure?

Sole proprietor, S-corp, Partnership

## 02 What can I write off?

Marketing, operations, professional fees,  
vehicle expenses

## 03 How do I track everything?

Systems, tools, technology

## 04 Can I minimize my tax burden?

Structure changes liability, payroll and self-employment tax.

# Choose an Entity Structure with Intent

## SIMPLICITY

### Sole Proprietorship

Simple filing • no liability shield  
All net earnings generally face SE tax

### S-Corporation

Payroll discipline • potential SE tax efficiency  
Added administration and reasonable salary rules

## FLEXIBILITY + PROTECTION

### LLC

Liability protection • flexible tax treatment  
Can elect sole prop, partnership or S-Corp taxation

### Partnership

Flexible allocations and distributions  
Complex basis, agreement and partner-level rules

# What Can I Deduct?

01

## Marketing

- Advertising
- CRM
- Lead generation
- Photography & video



02

## Operations

- Office expense
- Postage
- Supplies
- Website & hosting



03

## Professional Fees

- Accounting
- Desk fees
- Dues & subscriptions
- Licensing



04

## Vehicles

- Car expenses
- Mileage
- Deprecation



# Tracking Expenses

## 01 Business Expenses

Bookkeeping software, receipt tracking

## 02 Mileage

Business mileage tracker, car & vehicle expenses

## 03 Home Office

Track bills, know your calculations

## 04 Review Regularly

Monthly reconciliation, reimbursement and quarterly profit loss analysis

# Which Business Structure is Best?

## REAL ESTATE PROFESSIONAL

### 2025 Salary Info

- Median = \$52,830
- 25% = \$40,040
- 75% = \$82,020

## BUSINESS ENTITY

### When to Consider an S-Corp

- Can pay a reasonable salary
- Enough gross revenue to justify the entity's expenses
- Enough profit to take distributions

# Types of Strategic Retirement Accounts

01

## ROTH IRA

- Post-tax contribution
- Tax-free growth
- Tax-free withdrawal
- Limit: \$7.5k – \$8.6k



02

## SEP IRA

- Employer contributes
- Flexible amounts
- Limit: \$72k or 25%



03

## SIMPLE IRA

- Employee contributes
- Employer contributes
- Limit: \$17k – \$22k



04

## Solo 401K

- Employee contributes
- Employer contributes
- Limit: \$24k – \$83k



# Advanced Tax Savings Opportunities

## 01 Health Insurance

Self-employed insurance deduction  
Health savings account

## 02 Children as Employees

Administrative work, social media,  
photography, etc.

## 03 Augusta Rule

14 days of tax-free rental income and a  
business expense

## 04 Accelerated Depreciation\*\*

Section 179, bonus depreciation, and cost  
segregation

# Real Estate Professional Status

## REAL ESTATE PROFESSIONAL

### How To Qualify

- 750 hours performing real estate services
- 50% of your total hours working
- Material participation

## SHORT TERM RENTAL

### How To Qualify

- 100 hours logged during the tax year
- Average guest stay of 7 days or less
- Material participation documented

**REPS = Cost Segregation**

# What is Cost Segregation?

01

## Definition

- Engineering study isolating components from the building to be depreciated much faster



02

## Depreciation

- Residential – 27.5 yrs
- Commercial – 39 yrs



03

## Cost Segregation

- 5 yrs
- 7 yrs
- 15 yrs



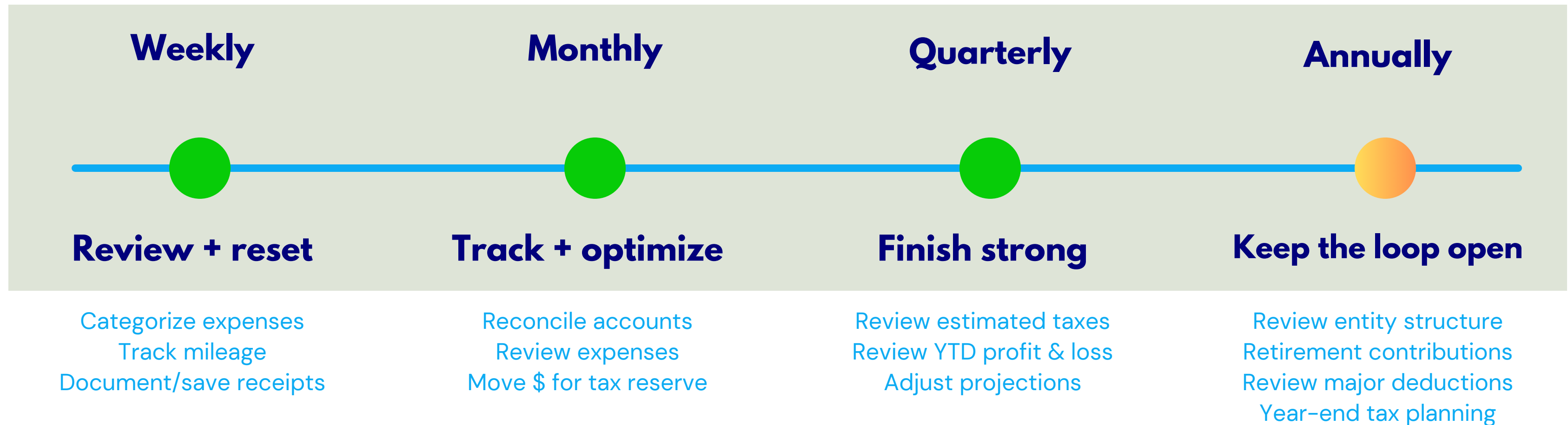
04

## Benefits

- Significantly reduce taxable income
- 1031 exchange to like property once depreciation is done



# Your Tax Planning System



# Case Study: Schedule C vs. S-Corp

## 01 Sole Proprietor - Schedule C

- Net Profit = \$150k
- Standard deduction = \$32.2k
- SE Tax = \$19,125
- Federal Tax = \$15,274
- Total Tax = \$34,399
- **Effective Tax Rate = 29.3%**

## 02 S-Corporation

- Net Profit = \$150k
- S-Corp Salary = \$50k
- K-1 Distribution = \$100k
- Standard deduction = \$32.2k
- SE Tax = \$7,650
- Federal Tax = \$15,274
- Total Tax = \$22,924
- **Effective Tax Rate = 19.5%**

# Case Study: Cost Segregation

## SCHEDULE C - NO COST SEGREGATION

### **Total Income = \$320,000**

- Itemized Deductions = \$35,000
- SE Tax = \$29,178
- Federal Tax = \$70,269
- Total Tax = \$99,447
- **Effective Tax Rate = 31.1%**

## SCHEDULE C - USING COST SEGREGATION

### **Total Income = \$320,000**

- Itemized Deductions = \$35,000
- Depreciation = \$180,628
- SE Tax = \$15,969
- Federal Tax = \$17,674
- Total Tax = \$33,643
- **Effective Tax Rate = 10.5%**



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# Thank you for joining us!

**Schedule a follow-up consultation**

**jason@sisutax.com**  
**503-720-3730**

